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Achievements of the RBI

1. RBI is one of the best central banks in the world. RBI took proactive measures during global economic slowdown in 2008-09 to save Indian economy.
2. National Bank for Agriculture and Rural Development (NABARD) was once a subsidiary of RBI. It is the first of its kind in the entire world.
3. The demonetisation in 2016-17 was a grand success because of the leadership role of the RBI.

Pakistan and the Seychelles also called their currencies rupee. Among global currencies Indian rupee is given the code INR (Indian Rupee) by the International Organisation for Standardisation.



Demonetisation and Remonetisation

Government of India on the recommendation of the RBI carried out demonetization on November 8, 2016 in order to; a) to crack a whip against black money, b) drive out counterfeit currency in circulation, c) formalization of cash dependent business, and d) dismantling the financial strength of terrorism and naxalism. There were ` 17,118 billion value of ` 500 and `1000 currency notes in circulation before demonetisation. They consisted of around 2,203 crore pieces of notes. Of these 98.96% notes were returned to the banks. Subsequently remonetisation was carried out by issuing new ` 2000 and ` 500 currency notes.

Key Terms

Amalgamation
Lender of last resort
Clearing house
Banking ombudsman.



For Own Thinking

A Debate on demonetisation and remonetisation



For Future Learning

1. Know the Central Banks of Some other Countries
   The Central Bank of Russia is the Bank of Russia
   The Central Bank of Sri Lanka is the Central Bank of Sri Lanka
   - The Central Bank of the USA is _____
   - The Central Bank of Pakistan is _____
2. Mention the names of Central Banks in three other countries
   i.....
   ii.....
   iii.....
3. Understand the concepts monetary authority, banking system, financial system
4. Collection of names of RBI Governors
5. Collection of photo copy of currencies and coins in India.